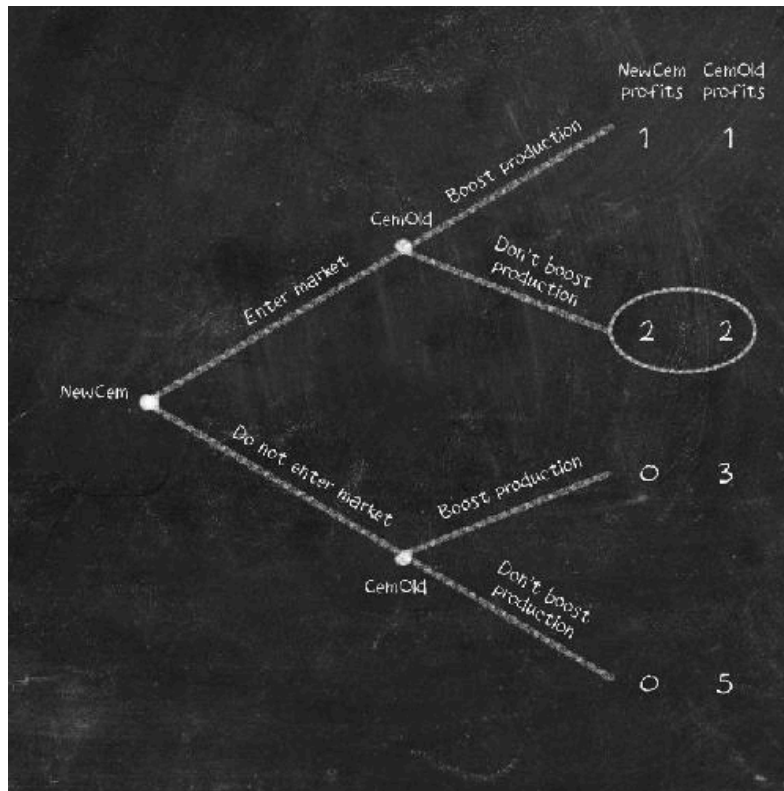


Credible threats

In many markets, a small number of firms compete and their individual outputs affect prices. In making decisions, therefore, firms must take into account the reactions of competitors. They may try to influence them with threats, but these only work if they are credible.

Consider CemOld, a monopoly supplier of cement that earns large profits through high prices by underproducing. NewCem now considers entering the market and CemOld knows that this would drive down prices. So it threatens to boost production in the event of NewCem's entry, hitting the profits of both firms. CemOld hopes this will deter the newcomer, but if NewCem does enter the market it would not be rational to carry out its threat: it is not credible. A threat can be made credible by showing commitment to it – CemOld could invest in a new factory, and having made that outlay, it will need to produce cement from the new plant. This could make it profitable to raise output significantly if NewCem do enter.



Profit opportunities encourage NewCem to enter the market, and discourage CemOld from retaliation.